

esc, cbm, hhp
STATE OF COLORADO

DIVISION OF MINERALS AND GEOLOGY ✓

Department of Natural Resources

1313 Sherman St., Room 215
Denver, Colorado 80203
Phone: (303) 866-3567
FAX: (303) 832-8106



March 6, 2006 ✓

Mr. Eric Hodek ✓
CEMEX, Inc.
P.O. Box 529
Lyons, CO 80540

Bill Owens
Governor

Russell George
Executive Director

Ronald W. Cattany
Division Director
Natural Resource Trustee

RE: CEMEX, Inc., Lyons Mine, Permit No. M-1977-208 ✓
✓ Delayed Pumping of the C-Pit

Dear Mr. Hodek,

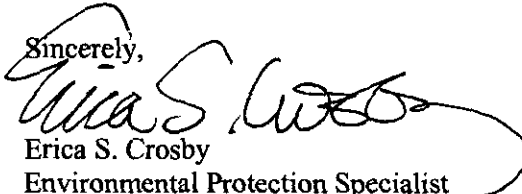
The Division received your letter of February 23, 2006 regarding the pumping delay of C-Pit water as specified in the Technical Revision 06 (TR-06) for the CEMEX, Inc. Lyons mine, Permit No. M-1977.

In your letter and our phone conversation of March 1, 2006, you state that pumping of the pit will not occur until April 15, 2006 due to procurement issues. However, TR-06 specified that pumping of C-Pit water would occur no later than March 1, 2006. Please be reminded that CEMEX committed to reduce/eliminate waters within the C-Pit within 12 months of the approval of TR-04 dated February 28, 2005. To date, only four feet of water has been removed from the pit.

The Division will extend the deadline to begin removal of C-Pit water to **April 7, 2006**. Please notify the Division in writing as to when pumping of the C-Pit commences. In addition, a revision to address selenium in the C-Pit must be submitted on or before April 1, 2006 (as required as a stipulation to TR-06 approval). Failure to meet these time frames may be considered a violation for failure to follow the approved reclamation plan and will be scheduled before the Mined Land Reclamation Board (MLRB).

If you have any questions, please do not hesitate to contact me at 303-866-4943.

Sincerely,


Erica S. Crosby
Environmental Protection Specialist

cc: Carl Mount; DMG
Harry Posey; DMG
Paul Banks; Banks & Gesso